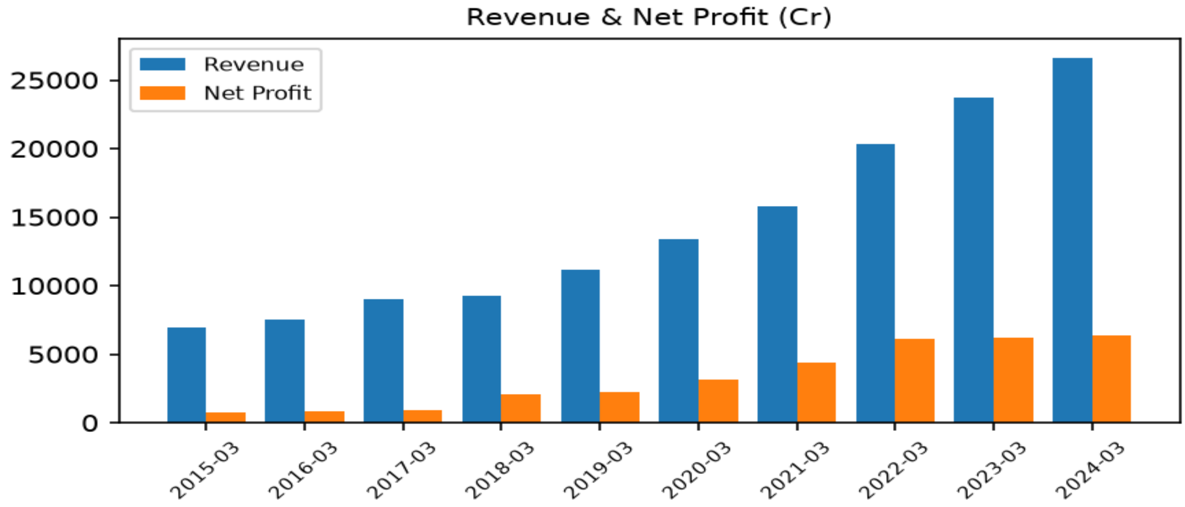
Indian Railway Finance Corporation Ltd (IRFC)

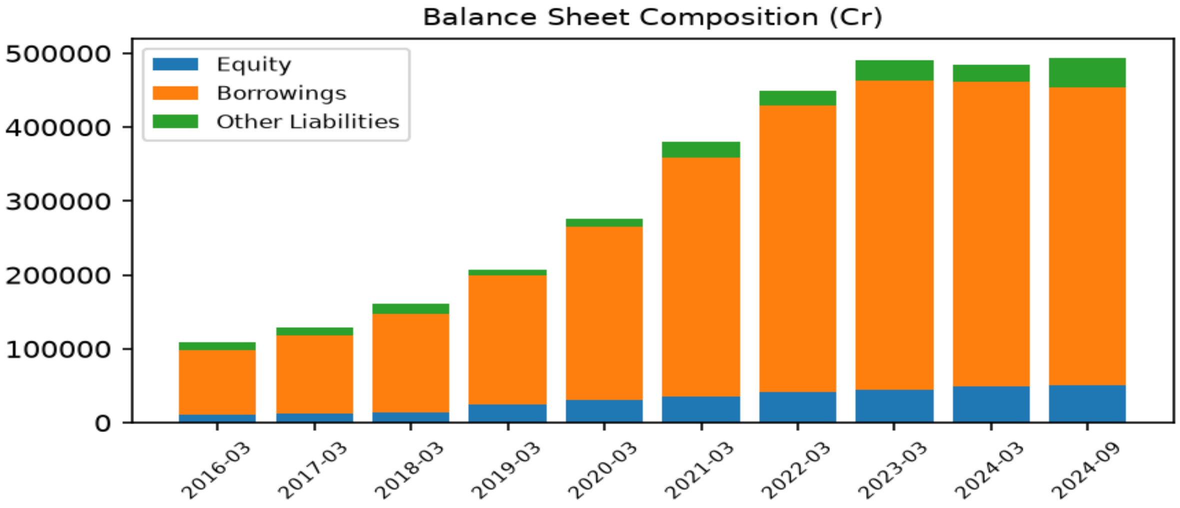
ROE 13.0%	**ROCE** 5.7%	**Net Profit Margin** 24.1%
D/E 8.4	**Revenue CAGR 5yr** 19.1%	**Free Cash Flow (Cr)** 7906.0

Revenue & Net Profit (10yr)

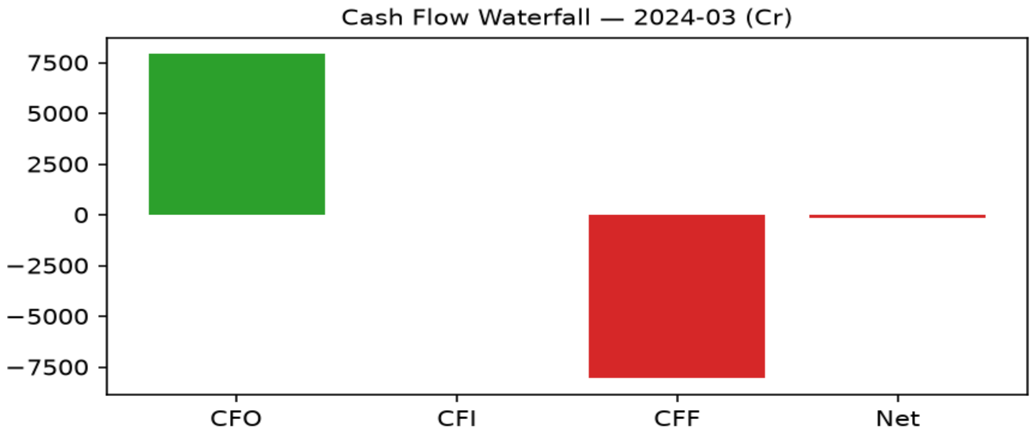


ROE & ROCE (10yr)

Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Debt-to-equity of 8.38 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Shareholder Returns